

Ch #1

2022 Quist. No 2

Q#1: Describing the importance of managing the human resources.

HRM: ^{↑ focus on people in an organization} is ensure that human talent is used efficiently & effectively.

HRM is the process of acquiring, training, appraising, and compensating employees, and of attending to their labor relations, health and safety, and fairness concerns.

Importance of HRM: Plays important role in creating organization and helping them survive.

i) Avoid personnel mistakes:

Having a command of HRM knowledge will help to avoid the sorts of personnel mistakes that should not be made while managing.

For example, no manager wants to:

⇒ Hire the wrong person for job.

⇒ Experience high turnover.

⇒ Waste time with useless interviews.

⇒ Have your people not doing their best.

=> Waste time with useless interviews.

=> Have your company taken to court because of your discriminatory actions.

=> Have your company cited under federal occupational safety laws for unsafe practices.

=> Commit any unfair labor practices.
Allow a lack of training to undermine your departments effectiveness.

Have some employees think their salaries are unfair relative to others in the organization.

ii) Improve profits & performance

=> Effective human resource management can help to ensure that you get results through people.

=> By hiring the right people for the right jobs and motivating, appraising and developing them.

The managers can lay brilliant plans, draw clear organization charts, set up modern

assembly lines, use sophisticated accounting controls

iii) Satisfying multiple stakeholders

o An organization's approach to managing human resources is central to its ability to satisfy its many stakeholders.

o Stakeholders are individuals or groups with interests, rights or ownership in an organization and its activities.

o Stakeholders benefit from the organization's success and can be harmed by its failure and mistakes.

o The organization has an interest in maintaining the general well-being and effectiveness of key stakeholders.

o Owners and investors, customers, employees, society and other organizations such as suppliers, unions, and joint venture partners are examples of stakeholders.

o If some of stakeholder groups break off their relationships with the organization, the organization may suffer.

- o The varying goals of stakeholders can work against each other, trying to keep all these stakeholders happy can be tricky.

- o The approach to managing human resources can provide organizations with effective solutions to the challenge of how best to satisfy the objectives of its multiple stakeholders.

- o "The way to gain good reputation is to endeavor to be what you desire to appear" states.

According to Mark Huselid:-

- o "There is no doubt about it. The more effectively you manage your people, the more profitable your company will be."

Development of workplace policies

- o Every organization has policies to ensure fairness and continuity within the organization.

- o In the development of policies, HRM and executives are ^{individually} involved in the process.

- o HRM professional will likely recognize the need for a policy or a change of policy, seek opinions on policy, write the policy and then communicate that policy to employees.

Factors Contributing to the growth importance of HRM:

i) Accommodation to workers needs:

- o Workers are demanding that organizations accommodate their personal needs by instituting such programs as flexible work schedules, parental leave, child-care and elder-care assistance and job sharing.

- o The HRM plays a central role in establishing and implementing policies designed to reduce the friction between organizational demands & family responsibilities.

ii) Consistency:

HR policies help to maintain consistency and equity within an organization.

o Consistency is particularly important in compensation and promotion decisions.

o - Increased complexity of the manager's job:

o Expertise

o Cost of Human Resource

o Legislation & Litigation

Why are we concerned with HRM?

1) Helps you get results - through others

2) Helps you avoid common personnel mistakes

3) Helps you to gain Competitive advantage

HRM is the process of recruitment, selection of employees, providing proper orientation and induction, providing proper training and development of skills, assessment of employees, providing proper compensation and benefits, motivating, maintaining proper relations with labor and with trade unions, maintaining employee safety, welfare and health by complying with labor law.

2022 Quest. No 2.

Q. How to gain and sustain Competitive advantage through human resource?

Competitive advantage: (The edge ^{edges})

⇒ Any factor that allows an organization to differentiate its product or service from those of its competitors to increase market share is called Competitive advantage.

⇒ Some firms use their approach to managing human resources to gain a sustainable competitive advantage.

⇒ A company has a competitive advantage when all or some of its customers prefer its products and services.

⇒ If a company's advantage in the market is difficult for competitors to

understand and copy, the company has sustainable competitive advantage.

⇒ Sustainable Competitive advantage:-

⇒ Firms can get competitive advantage by having capabilities that its competitors do not have.

⇒ To sustain this competitive advantage, these capabilities need to be:

- o Valuable
- o Reasonably rare
- o Difficult to imitate or replace

These capabilities can be related to any aspect of business.

⇒ They can be related to the firm's products, marketing, learning capabilities, hedging human resources etc.

⇒ Any firm can not create competitive advantage unless the company also has the human resources.

Employees who are source of added value:

⇒ The objective of effective human resource management is to maximize the value added by all employees.

⇒ Employees add value by using their skills and knowledge to transform

the organization's other resources to produce and deliver products and services that generate profits or other valued forms of return.

⇒ Employees who are most closely associated with the activities that generate valued returns usually have the most opportunity to add value.

⇒ Sometimes referred to as "core" employees, they are closest to the essential work of the organization.

⇒ e.g. programmers are core employees in software development.

⇒ Core employees can add value to an organisation in a variety of ways:

- o Through Research
- o Through New product development
- o Through production
- o Through service delivery

⇒ The main objective is to maximize the value added by all employees can be achieved if the organisation must be staffed the right employees doing the right things, at the right time and place, and under the right conditions.

According to Gary Kelly:

"Our people are our single greatest strength and most enduring long-term competitive advantage."

Employees who are rare:

⇒ To sustain a competitive advantage, a firm's human resources must be rare.

⇒ If competitors have employees with similar talent, then a firm's talent provides no advantage over competitors.

⇒ Employees are a valuable source of sustainable competitive advantage.

⇒ HR leaders must determine ways to boost employee satisfaction.

⇒ Dissatisfied workers who are looking for better employment read these lists too.

⇒ Competitive advantage can be gained by attracting, developing, and keeping good talent (that acts like a magnet for drawing the best talent to the firm).

By an HRM system that cannot be copied:

⇒ To achieve competitive advantage, getting the best people into the firm is just a first step.

⇒ Keeping the best people happy & productive is equally important.

⇒ An effective HRM system can create a strong company culture that keeps employees happy & productive.

⇒ Such company cultures are difficult for other companies to copy.
Example:

⇒ Southwest Airlines and FedEx are two companies with HRM systems and company cultures that contribute to business success and are difficult for competitors to copy because they have developed over a long period of time.

Q. What is sustainability?

⇒ it is the commitment by organization to balance financial performance with contributions to the quality of life of their employees, society at large, and the environment.

⇒ One measure of sustainability is the triple bottom line, which looks at organizational performance as a combination of financial, environmental and social performance.

Q. Define the term stakeholders?

⇒ All individuals and groups that are directly or indirectly affected by an organization's decision.

Q. Define Tangible assets?

⇒ Tangible assets. To determine a firm's value in the economy, some investors focus on measuring tangible assets.

⇒ Tangible assets are relatively easy to measure and include such assets as:

- Inventory equipment & real state & financial assets.

Intellectual capabilities

Q. Define intangible human assets.

⇒ Intangible human assets are comparatively social in nature and include such organizational characteristics as an employee's choice reputation, the depth of employee talent and loyalty, and the ability to innovate and change.

⇒ "Human Capital" is an intangible asset not listed on a company balance sheet.

⇒ Intangible assets don't physically exist. They are identifiable long-term assets of a company having no physical existence.

Q. Define Sustainable Competitive advantages.

⇒ Sustainable Competitive advantage are a set of assets, characteristics, or capabilities that allow an organization to meet its customer needs better than its competition can.

⇒ Sustainable Competitive advantages are difficult to duplicate or replicate.

e.g. Carving excellent customer service, Focusing on customer problems, Carrying and improving employee relations, the environment.

Define human resources.

Human resources are all of the people who currently contribute to doing the work of the organization as well as those people who potentially could contribute in the future, and those who have contributed in the recent past.

Define HRM activities.

Human resource activities include the formal HR policies developed by the company as well as the actual ways these policies are implementable in the daily practices of supervisors & managers.

- Formal policies are regarded as statements of expectations & aspirations, but they are not implemented in actual daily practices.

Define HRM system.

⇒ When an organization systematically understands, creates, coordinates and aligns all of their HR policies, practices and strategies

it creates an integrated human resource management system.

⇒ it takes many human resource policies and practices working together as a system to get the best results.

⇒ An effective HRM system comprises planning and coordination of the various HR activities.

Define human resource portals.

Human resource portals, which are single access point to all HR (practices on many different) related digital content & apps, are allowing employees to engage in a wide range of HR practices on many different types of mobile devices at their convenience. - it is also an access point for mobile

Define HR metrics.

- HR metrics are measurements used to assess progress against HR objectives and short-term goals.

- There are important because they provide an objective clue as to how someone or the organization on a whole is performing.

HR professionals use many types of metrics.

Some HR metrics are used to evaluate the performance of an entire business or department.

Q. Define HR analytics.

HR analytics refers to the statistical and quantitative analysis of HR metrics in order to discover relationship b/w metrics & predict HR-related outcome.

- Also called ———

People analytics, workplace analytics, talent analytics involves gathering together, analyzing and reporting HR data.